

China Economic Comment

April new credit missed again

Economics

China

New RMB loans turned negative again in April

New RMB loans contracted by RMB 10bn in April, -290bn below a year ago and weaker than market expectations (Bloomberg average RMB 300bn). M&L household loans contracted by RMB 341bn (-218bn YoY) while M&L corporate loans declined by RMB 410bn (-660bn YoY). The softness points to sustained weak credit demand from the private sector, while LGFV debt swap may have continued to depress RMB lending. Bill financing picked up to RMB 1.2trn (RMB 409bn YoY) possibly on policy push, but it was not enough to offset weakness elsewhere. Loan growth decelerated further to 5.6% YoY, compared to 5.7% in March and 6.4% at end-2025.

New TSF also missed expectations

New TSF recorded RMB 625bn in April, short of a year ago (RMB -535bn YoY) and weaker than market expectations (Bloomberg average RMB 1.25trn). In addition to soft loans (RMB loans within TSF printed RMB -489bn YoY), government bond issuance was also modestly lower than last April. Shadow credit declined YoY, more than offsetting the modest uptick in corporate bonds.

Credit growth slowed further, credit impulse declined deeper

We estimate the sequential growth momentum of total TSF decelerated in April to 4.3% MoM Saar from 12.3% previously. Seasonally adjusted new credit flows softened to 23% of GDP on a 3mma basis (vs 25% in March). On a YoY basis, the official TSF growth slowed by 0.1ppt to 7.8% YoY. Our credit impulse turned more negative to -1.9% of GDP (vs -0.4% in March).

PBC withdrew liquidity in April; interbank liquidity remains ample

Interbank liquidity condition has been loose in the past few months with DR007 hovering around 1.3% lately (vs operation rate of 1.4%). The volume of 7-day reverse repo has been extremely low at RMB 0.5-1bn per day in April and May except for the period around month-end, and PBC said it has fully met the demand from primary dealers. The loose liquidity condition was likely due to soft credit demand, and stronger FX conversion from exporters in light of RMB appreciation, in our view. Reflecting the latter, the PBC's FX reserve has been on an upward trend over the past four months. The PBC withdrew liquidity in April through OMO (-RMB 732bn), MLF (RMB -200bn) and PSL (RMB -200bn), more than offsetting liquidity provision through structural tools (RMB 367bn), purchase of government bond (RMB 40bn) or Treasury cash management (RMB 130bn). Nonetheless, liquidity condition remains ample and 7-day repo rate stayed low into May. We believe the PBC has kept liquidity accommodative to boost money and credit growth. Financial regulators could use administrative measures to urge banks to increase lending.

Jennifer Zhong

Economist

jennifer-a.zhong@ubs.com

+86-105-832 8324

Yu Song

Economist

S1460526010002

yu-za.song@ubs.com

+86-10-5832 8508

Grace Wang

Economist

S1460524050003

grace-zc.wang@ubs.com

+86-105-832 8335

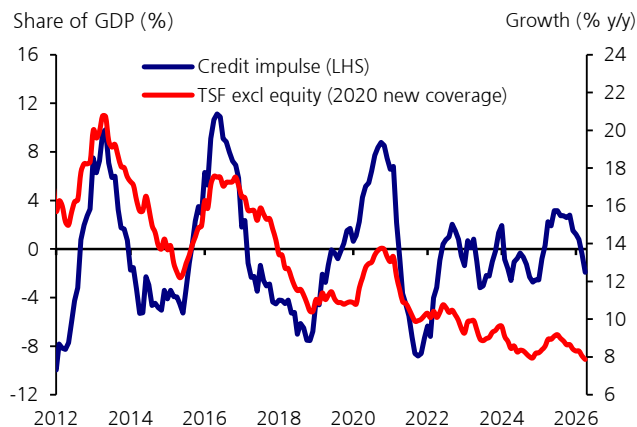
William Deng

Economist

william-w.deng@ubs.com

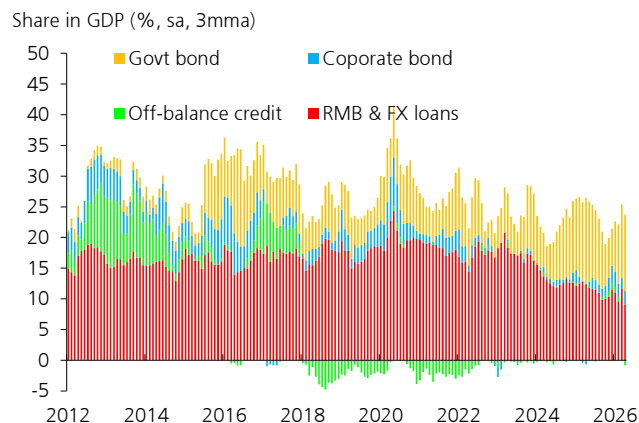
+852-2971 6765

Figure 1: Credit growth slowed, credit impulse turned more negative



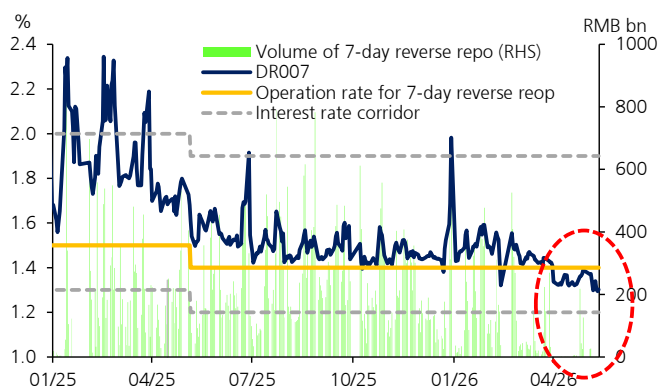
Source: CEIC, UBS estimates

Figure 2: New credit flows softened on a sequential basis (3mma)



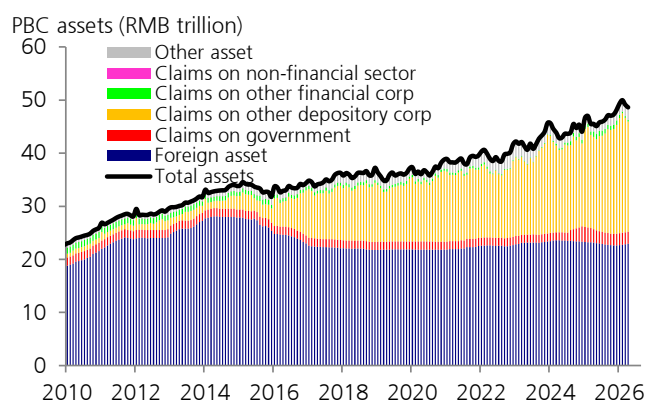
Source: CEIC, UBS estimates

Figure 3: Demand for interbank liquidity has been low and DR007 hovered at a low level



Source: CEIC, UBS estimates. Interest rate corridor defined by temporary overnight OMO

Figure 4: PBC's foreign asset edged up in 2026



Source: CEIC, UBS estimates

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